

## Questions – Group Case Study #2

### The Investment Detective, 2016, #UV0072

In this case, your team has been tasked with choosing the best projects for your company to execute. **Your group report should be written as answers to the questions listed below using MS Excel, MS Word, or MS PowerPoint.** [You should ignore the questions posed to you in the case; instead, just answer the questions I've listed below.] When finished, please have someone in your group upload your answers via an MS Excel, MS Word, or MS PowerPoint file to Canvas.

For this case, I recommend performing your calculations and writing your answers directly in the MS Excel file I've posted to Canvas, "Case 2 – Investment Detective (Exhibits).xlsx," which includes the data needed for your analysis. Then, you can upload that Excel file for me to grade. Additionally, you should assume that the firm's cost of capital is 10% when answering the questions below.

This group case is worth 6 points. Questions 1-4 count for one point each; question 5 is worth two.

**In your analysis, please answer the following questions:**

1. Can you rank the projects simply by inspecting the cash flows and using the "Excess of Cash Flow Over Initial Investment" number given in the MS Excel file? Why or why not? *[Note: You will not receive full credit unless you explain **why or why not.**]*
2. What is the payback period for each project? Which project has the quickest payback period? Which project has the longest payback period? If the company sets a payback investment criterion of 6 years, which projects would it implement?
3. What is the NPV of each project? If you were deciding based solely on NPV, which four projects would you choose? [Again, you should assume the firm's cost of capital is 10%. I.e., this is what you should be using for the discount rate. And remember, projects 7 and 8 are mutually exclusive, meaning the firm can only choose one of those two.]
4. What is the IRR for each project? Which project has the highest IRR?
5. What are the four best projects to accept, **and importantly, why?**